EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

The Municipality of Baggao was once a barrio of Amulung. It became a Municipality on November 27, 1896 by a Royal Decree.

For more than 95 years, since it was separated from its mother town Amulung, the Municipal Government of Baggao has been seated at the Centro or Poblacion. The Poblacion or Centro founded almost a century ago is no longer the center today. Basing on the context of "ripple effect" approach of development, the present site of the Municipal Government of Baggao has already become misplaced and unstrategically located as its pivotal role of or equal government services and opportunities has already waned. The present town site in fact is causing upsurge of factionalism due to the desire of the people to split the municipality into two.

Pursuant to Republic Act 7160, otherwise known as the Local Government Code of 1991, The Municipality, like other local government units, enjoy total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national governments' thrust for sustainable social and economic growth.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Baggao, Cagayan for CY2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Baggao, Cagayan for the year ended December 31, 2017, with comparative figures for CY 2016, are as follows:

Particulars	2017	2016	Increase (Decrease)
Financial Condition			
Total Assets	₱611,189,124.85	₱ 506,181,716.82	₱105,007,408.03
Total Liabilities	102,087,324.99	108,417,453.72	(6,330,128.73)
Total Government Equity	509,101,799.86	397,764,263.10	111,337,536.76

Particulars	2017	2016	Increase (Decrease)
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	302,503,338.12	264,606,780.43	37,896,557.69
Total Expenses (Includes TotalOperating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations)	199,414,998.93	196,599,189.49	2,815,809.44
Appropriations, Allotments and Obligations			
Appropriations - Current	₱329,880,040.98	₱281,716,100.35	₱48,163,940.63
Appropriations - Continuing	75,644,450.58	69,868,212.53	5,776,238.05
Allotments - Current	329,880,040.98	281,716,100.35	48,163,940.63
Allotments - Continuing	75,644,450.58	69,868,212.53	5,776,238.05
Obligations - Current	197,872,134.78	194,183,822.53	3,688,312.25
Obligations - Continuing	29,346,325.67	40,520,111.67	(11,173,786.00)

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Baggao for the year-ended December 31, 2017 due to the following:

1. The reliability and accuracy of Property, Plant and Equipment (PPE) balance of ₱325,947,776.48 as at December 31, 2017 could not be ascertained due to the incomplete physical inventory count of all its properties. Further, the physical inventory report and accounting records showed an unreconciled amount of ₱9,711,562.98.

2. The correctness and reliability of some Property, Plant and Equipment (PPE) accounts with a carrying amount of ₱110,333,300.62 as at December 31, 2017 could not be ascertained due to the variance between the balances per books and balances per PPE Lapsing schedule amounting to ₱12,894,842.17 which is not in consonance with Section 111 (2) of Presidential Decree No. 1445.

D. Summary of Significant Observations and Recommendations

1. **Fifteen lots with a market value of ₱27,303,890.00 have remained untitled in the name of the LGU thus, the full ownership of the municipality could not be ascertained which is inconsistent to Section 148 of COA Circular 92-386 dated October 20, 1992 and Section 23(2), Title I-Book-V of the 1987 Administrative Code.**

We recommended that the Local Chief Executive instruct the General Services Officer to facilitate the preparation of documentary requirements to secure titles in the name of the municipality on the fifteen untitled lots. The Land and Land Rights recorded in the books which were not supported with TCT and other legal documents of ownership should be properly disclosed in the notes to financial statements.

2. **The unexpended balance of the CY 2017 LDRRMF amounting to ₱13,735,902.90 was not transferred at year-end to the Special Trust Fund under the account Trust Liability-DRRM in the Trust Fund books which is not in consonance with Section 21 of Republic Act (R.A.) No. 10121 and Section 5.1.10 of COA Circular No.2012-002 dated September 12, 2012.**

   We recommended that the Municipal Accountant transfer at year-end the unexpended balance of the LDRRMF to the Special Trust Fund under the account "Trust Liabilities-DRRMF" in the Trust Fund books pursuant to COA Circular No. 2012-002 and Section 21 of Republic Act (R.A.) No. 10121.

3. **The Real Property Tax Receivable/Special Education Tax Receivable and Deferred Real Property Tax income/Deferred Special Education Tax Income were not properly recognized for CY2017 which is not consistent with Section 3.6 of COA Circular 2016-04.**

   We recommended that the Municipal Treasurer furnish the Municipal Accountant with a certified list of taxpayers and the amount due and collectible for the year. Based on this list the Municipal Accountant shall draw a JEV to record Real Property Tax Receivable/Special Education Tax Receivable and Deferred Real Property Tax income/Deferred Special Education Tax Income.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱993,795.68	₱ -	₱993,795.68	₱ -	100%
Current Year	-	-	-	-	-
Total	**993,795.68**		**993,795.68**	**-**	**100%**
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges	-	-	-	-	-
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**	**₱ -**	**-**

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the seven (7) audit recommendations in the 2016 Annual Audit Report, one (1) was implemented, four (4) were partially implemented and two (2) were not implemented.